Solution

In the books of Pandian

Statement of affairs as on 1st January, 2018

Liabilities	₹	Assets	₹
Creditors	15,000	Cash in hand	10,000
Bank loan	25,000	Stock	28,000
Opening capital	**80,000**	Debtors	40,000
(balancing figure)		Bills receivable	12,000
		Furniture	30,000
	1,20,000		1,20,000

Dr. Trading and Profit and Loss Account for the year ended 31st December, 2018 Cr.

Particulars		₹	Particulars		₹
To Opening stock		28,000	By Sales		
To Purchases			Cash	11,200	
Cash	4,250		Credit	88,800	1,00,000
Credit	35,750	40,000	By Closing stock		11,000
To Carriage on purchases		3,000			
To Gross profit c/d		**40,000**			
		1,11,000			1,11,000
To Salaries		8,900	By Gross Profit b/d		40,000
To Carriage on sales		700	By Commission received		600
To Office rent		2,400			
To Interest on bank loan		2,500			
To Depreciation on furniture		1,500			
To Provision for doubtful debts		600			
To Net profit transferred to capital a/c		**24,000**			
		40,600			40,600

Balance Sheet as on 31st December, 2018

Liabilities	₹	₹	Assets	₹	₹
Capital	80,000		Cash in hand		17,000
Add: Net profit	24,000		Stock		11,000
	1,04,000		Debtors	60,000	
Add: Additional capital	14,000		Less: Provision for doubtful debts	600	59,400
	1,18,000		Bills receivable		35,100
Less: Drawings	8,000	1,10,000	Furniture	30,000	
Bank loan		25,000	Less: Depreciation	1,500	28,500
Creditors		16,000			
		1,51,000			1,51,000

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